© 2026 Stock Research. All Rights Reserved.

Strategic Trading Analysis

Step 1: Audit the Data

- **Data Present:** Comprehensive technical indicators (Daily/Weekly/15m charts, EMA 20/50/200, Bollinger Bands, Supertrend, MACD, RSI), volume analysis (distribution/exhaustion days), volatility squeeze metrics, relative strength vs. benchmark, and fundamental/analyst consensus snapshots.
- **Data Missing:** Institutional fund flow data (FII/DII buying/selling activity), derivatives data (options open interest, put-call ratio) which can influence intermediate-term supply and demand dynamics.
- **Confidence Level: High**. The report provides a robust, multi-dimensional view of the asset, covering both momentum-based technicals and baseline fundamental context necessary for a 1-4 month positional trade.

Step 2: Analyze the Setup

- **Price Structure & Trend:** The stock is emerging from a severe primary downtrend, having fallen from highs near INR 470 down to a base around INR 290. On the daily timeframe, a structural shift is occurring. Price (INR 314.90) has successfully broken and closed above both the 20-day EMA (INR 305.42) and the 50-day EMA (INR 310.26), signaling the start of an intermediate-term recovery.
- **Momentum:** MACD has experienced a bullish crossover (MACD Line 1.62 > Signal Line -0.14) and momentum is strengthening. The RSI is currently at 60.95, indicating healthy bullish momentum with ample runway before hitting overbought territory (>70).
- **Confluence:** The daily Supertrend flipped to a "BUY" signal at INR 299.75. Additionally, historical volume analysis shows "Selling Exhaustion," paving the way for buyers to regain control.
- **Target Logic:** The stock is currently setting up for a classic mean-reversion trade. The 200-day EMA sits significantly higher at INR 352.36, serving as a high-probability magnetic target for this relief rally. This aligns almost perfectly with the consensus analyst price target of INR 359. A move to the 200 EMA represents an approximate 11.8% upside, perfectly fitting the 5%-15% mandate for a 1-4 month horizon.

Step 3: Formulate the Recommendation

Recommendation: YES The stock is exhibiting a high-probability technical reversal from a solid base, supported by moving average crossovers, bullish momentum, and a defined risk level. It qualifies for a positional mean-reversion trade targeting the longer-term moving average.

- **Entry Price:** INR 314.90 (Current price, though accumulating anywhere between INR 310.00 and INR 315.00 on minor intraday pullbacks to the 50 EMA is acceptable).
- **Stop Loss:** INR 298.00 (Hard level. This sits safely below the psychological INR 300 level, the 20-day EMA of INR 305.42, and the daily Supertrend support of INR 299.75. A daily close below this invalidates the recovery thesis).
- **Take Profit:** INR 352.00 (Primary target aligned with the descending 200-day EMA acting as overhead supply).

(Risk/Reward Profile: Risking INR 16.90 to make INR 37.10, providing a favorable R:R ratio of approximately 1:2.2).

Candlestick Classification Analysis

Based on the provided "Candlestick Classification" charts and summary (Pages 20-21), here is my interpretation as a seasoned Candlestick Trader using your proprietary 5-step classification algorithm.

Stock Analysis Report

© 2026 Stock Research. All Rights Reserved.

1. Macro Context: The **Bearish** Anchor

To understand the current price action, we must look at the elephant in the room: **January 2026**. The chart shows a catastrophic gap-down accompanied by a massive, off-the-charts volume spike and a defining **"Seller Strong Control" (-2)** dark red candle. * **Algorithmic Translation**: Based on your logic, this day had a massive body (>1.5 ATR - Step 1), closed near its absolute low (conviction - Step 2), and had explosive volume (>1.3x avg - Step 4). The volume multiplier heavily validated this signal, cementing a major structural change in the market's psychology. Sellers completely dominated, creating a massive zone of overhead supply.

2. The Bleed and The Base (Feb 2026 - April 2026)

Following the January crash, the stock entered a prolonged bleed, characterized heavily by **"Seller Control" (-1)** and **"No Control" (0)** candles. The summary shows 62 Seller Control days versus only 43 Buyer Control days, confirming the bears have been in the driver's seat for most of this period.

However, as price approached the INR 290-INR 300 zone (late March/April 2026), we started seeing aggressive defense:* We see a cluster of **"Buyer Control" (+1)** light green candles and one prominent **"Buyer Strong Control" (+2)** dark green candle.* **Algorithmic Translation**: Buyers finally stepped up with large bodies relative to ATR (Step 1) and managed to close near the highs (Step 2). There is also a slight uptick in the volume bars below these green candles, applying the Step 4 positive multiplier. This shows a genuine, coordinated effort to establish a bottom.

3. Current State: Absolute Exhaustion / Equilibrium

Despite the recent bullish defense, the summary page explicitly states:* **Latest Classification:** No Control (0)* **Recent Trend Score (10-day avg):** 0.00

- **Algorithmic Translation**: A 10-day average of *exactly* 0.00 is rare. It means the recent "Buyer Control" days have been perfectly neutralized by "Seller Control" days, or that the last two weeks have been entirely populated by **"No Control" (0)** candles. Applying Steps 1, 3, and 4 of your logic: The recent candles have very small real bodies relative to ATR, likely feature long wicks on both sides (showing price attempted to move up and down but was rejected both ways), and are printing on low or average volume (which penalizes the score). The market is in a state of total indecision and exhaustion.

4. Future Price Prediction & Trade Plan

Prediction: Near-Term Consolidation, High Risk of Bearish Continuation.

Here is how the price action dictates the future move:1. **Immediate Term (Sideways):** With a 10-day score of 0.00 and the latest candle being "No Control," neither buyers nor sellers have the conviction to move the price. Expect a tight, choppy consolidation in the near term around the INR 310-INR 315 range. 2. **The Upside Hurdle:** For the bulls to take over, we need to see consecutive **"Buyer Strong Control" (+2)** candles breaking out of this consolidation with *massive* volume (Step 4 multiplier). The bulls are fighting an

© 2026 Stock Research. All Rights Reserved.

uphill battle against the trapped supply from January. Without high volume, any upward wicks will trigger the Step 3 bearish adjustment (rejection).3. **The Downside Risk:** Because the macro-trend is strictly bearish, this 0.00 "No Control" zone is currently acting as a "Bear Flag" or a resting phase for sellers. If you see a **"Seller Control" (-1)** candle print with a close near the low (Step 2) on rising volume, it will immediately break this fragile equilibrium and likely send the price testing the recent lows of INR 290.

Trader's Verdict: Stay neutral. The algorithm is screaming "indecision" (0.00). As a price action trader, you do not front-run a 0.00 score. Wait for the algorithm to print a strong conviction candle (+2 or -2) validated by your Step 4 Volume Multiplier to signal the next directional leg. Until then, the stock is dead money.

News & Analyst Targets

As a stock research analyst, here is the latest market intelligence and research summary for ITC Ltd. based on developments up to the first week of May 2026.

1) Latest News for ITC This Week

- **Strong Stock Rally on Price Hike Expectations:** ITC shares saw strong buying interest this week, surging up to 4-7% over consecutive trading sessions backed by heavy volumes. The rally is primarily driven by reports that ITC and other cigarette manufacturers plan to raise cigarette prices by up to 17% in May 2026 to offset recent tax hikes.
- **Upcoming Q4 FY26 Results:** The market is closely watching for ITC's Q4 FY26 earnings, scheduled to be announced in May 2026. Consensus analyst estimates project quarterly revenue to be in the range of INR 21,000-INR 23,000 crore, with Profit After Tax (PAT) expected between INR 5,500-INR 6,200 crore.
- **Decreasing FII Stake:** Recent shareholding data highlights waning interest from Foreign Institutional Investors (FIIs). FIIs have pared their stake in ITC by roughly 5% over the past year, reducing their holding from 39.87% in the March 2025 quarter to 34.83% by the March 2026 quarter.

2) Upgrades and Downgrades from Brokerages

- **Wave of Downgrades Post-Tax Hike:** Earlier in 2026, the stock suffered severe downgrades following a staggering government excise duty hike. Brokerages including Motilal Oswal, Nuvama, JP Morgan, and Macquarie downgraded ITC to "Neutral" or "Hold," citing pressure on volumes. Nomura, Emkay Global, and Kotak Institutional Equities took a more bearish stance, downgrading the stock to "Reduce".
- **Recent Constructive Views:** Despite the broad downgrades, sentiment is cautiously recovering as ITC aggressively executes price hikes to defend its margins. Brokerages like **UBS** and **Mirae Asset Sharekhan** have reaffirmed a **"Buy"** call on the stock recently, arguing that the company's strong pricing strategy and diversified business operations will shield its profitability.

3) Other News Directly or Indirectly Impacting ITC

- **The Regulatory and Taxation Shock:** Effective February 1, 2026, the government introduced a major tax overhaul that replaced the GST Compensation Cess with a revised specific excise duty structure and increased the overall GST on tobacco to 40%. This effectively pushed the overall tax burden on cigarettes up by 40-50%, prompting widespread fears of a 15% volume decline and heightened risk of illicit cigarette trade.
- **Sectoral Headwinds:** The non-cigarette divisions are facing a mixed environment. ITC is currently navigating a downcycle in its paper and packaging business, alongside a mild slowdown in broader FMCG demand.
- **ITC Hotels Demerger Progress:** The business officially demerged its hotels segment into ITC Hotels

© 2026 Stock Research. All Rights Reserved.

Limited (ITCHL) in January 2025, with ITC retaining a ~39.88% stake. The eventual market listing and scale-up of this separate entity remain a highly anticipated catalyst for unlocking further shareholder value.

4) Latest Targets from Analyst Community and Brokerages

Following the heavy valuation resets in 2026, below is a summary of the latest ratings and 12-month target prices issued by major brokerages.

Brokerage / Firm	Rating / Call	Target Price (INR)
Nuvama	Hold (Downgraded)	INR 415
Antique Broking	Hold	INR 408
Motilal Oswal	Neutral (Downgraded)	INR 400
Mirae Asset Sharekhan	Buy	INR 400
UBS	Buy	INR 395
JP Morgan	Neutral (Downgraded)	INR 375
CLSA	Outperform	INR 367
Systematix	Hold	INR 355
Emkay Global	Reduce (Downgraded)	INR 350
Kotak Institutional	Reduce	INR 338
Macquarie	Neutral (Downgraded)	INR 330
Nomura	Reduce (Downgraded)	INR 318

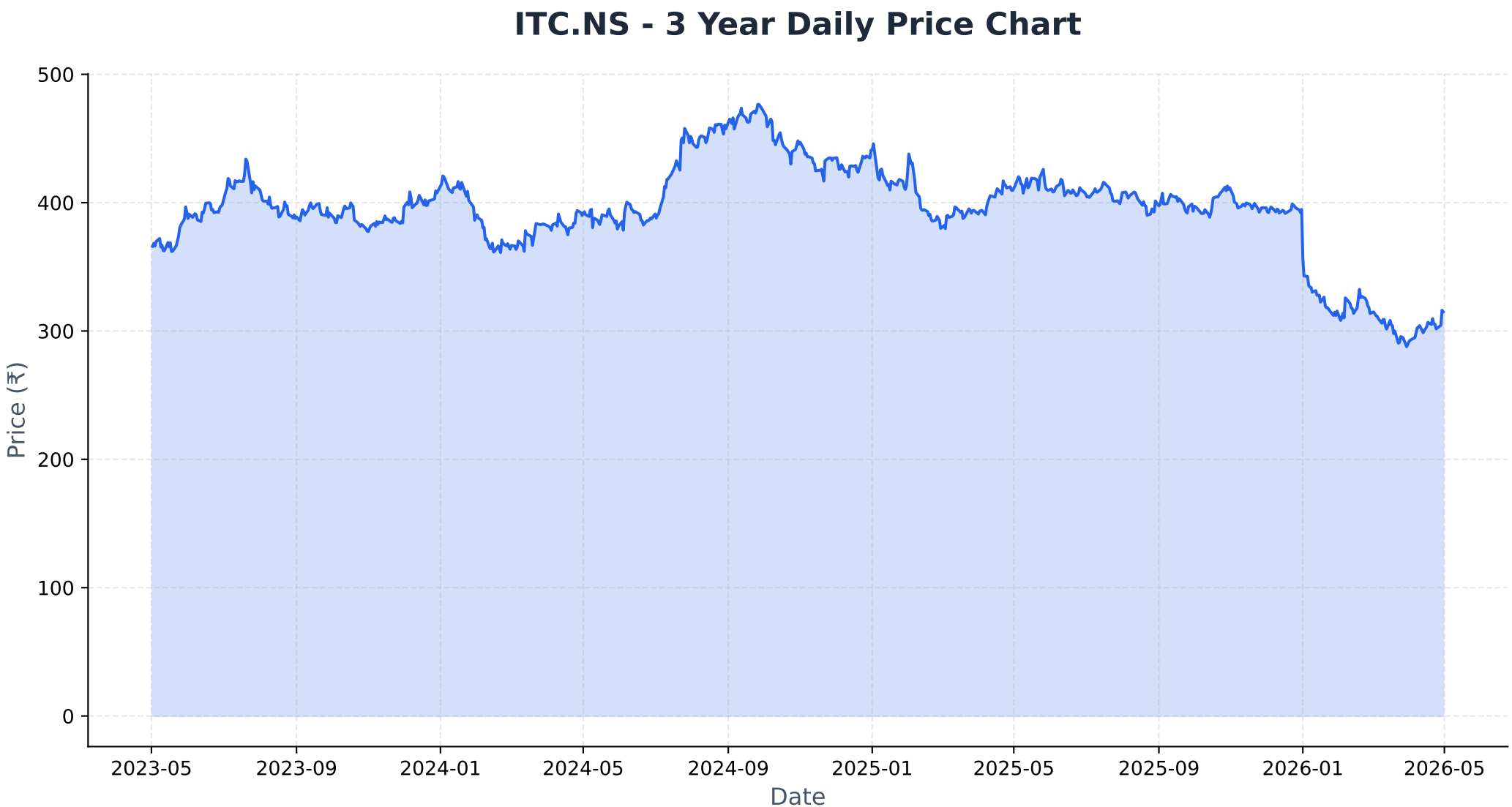
(Note: The wider market consensus average places the stock target near INR 490 on a long-term bull-case, but near-term targets have actively converged between INR 330 and INR 415 to account for the new tax regime).

Stock Detailed Analysis Report

ITC.NS

Current Price: ₹314.90

Generated: 2026-05-01 09:46


ITC.NS - 3 Year Daily Price Chart
500
400
300
200
100
0
Price (₹)
2023-05
2023-09
2024-01
2024-05
2024-09
2025-01
2025-05
2025-09
2026-01
2026-05
Date

Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	Yes	10.78%	7.51%
Net Income	Yes	Yes	69.84%	31.61%
ROE	Yes	Yes	68.81%	28.40%
EPS	Yes	Yes	69.24%	30.97%

Short-term Fundamental Analysis (6 Quarters)

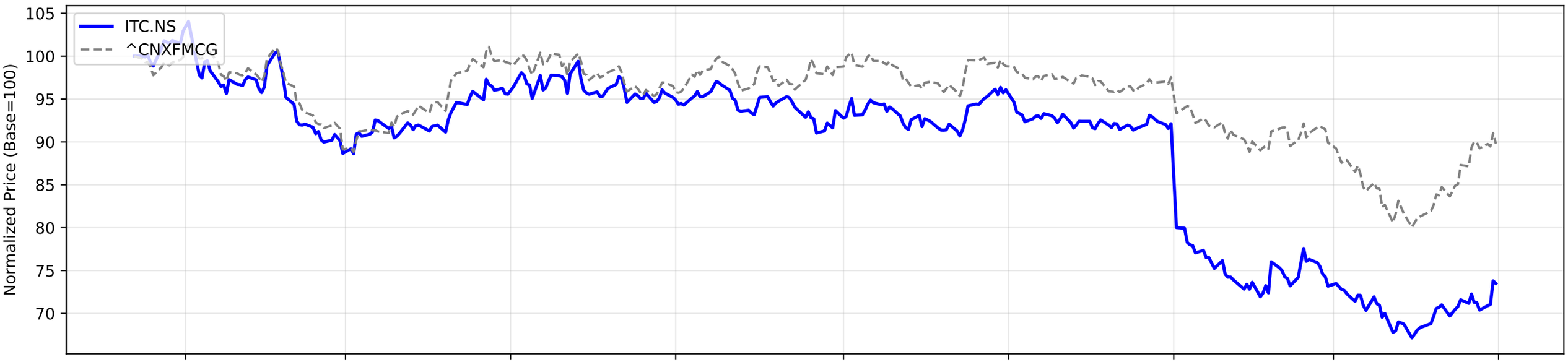
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	15.12%	2.90%
Net Income	Yes	-73.42%	75.06%
EPS	No	-1.00%	-1.00%

ITC.NS - Relative Strength Analysis

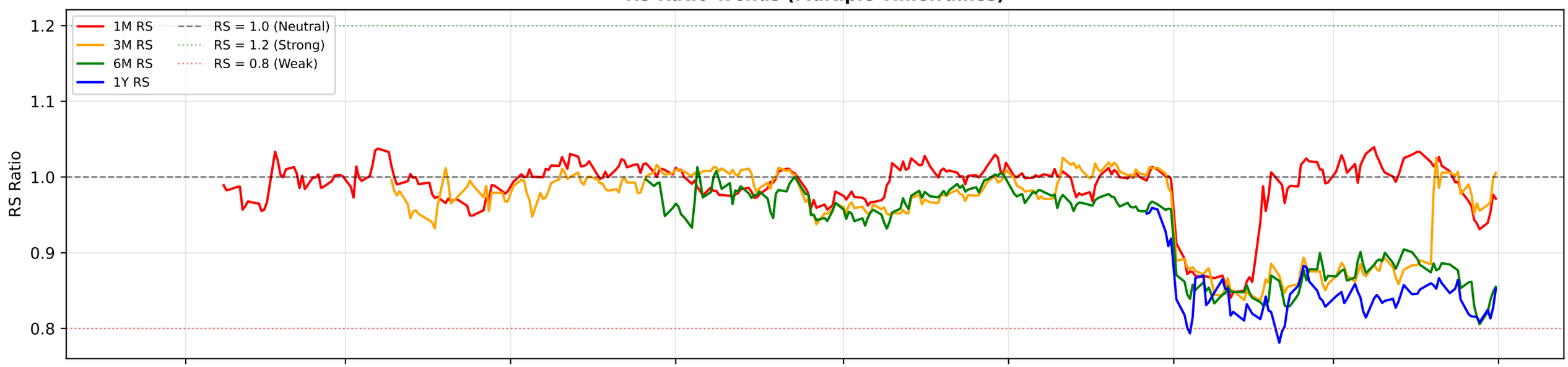
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXFMCG
Sector:	FMCG
Classification:	**Weakening Leader**
RS Score:	46.7/100
:	
═══ RS RATIOS ═══:	
1M RS:	**0.971 [Neutral]**
3M RS:	**1.006 [Leader]**
6M RS:	**0.855 [Neutral]**
1Y RS:	**0.853 [Neutral]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✗ **Emerging RS:**	**Not accelerating**
✓ **Medium-term Lagging:**	6M=0.855, 1Y=0.853 (≤1.0)
✓ **Performance Improving:**	3M (+0.9%) > 6M (-22.7%)

Relative Strength Analysis: ITC.NS vs ^CNXFMCG
Classification: Weakening Leader

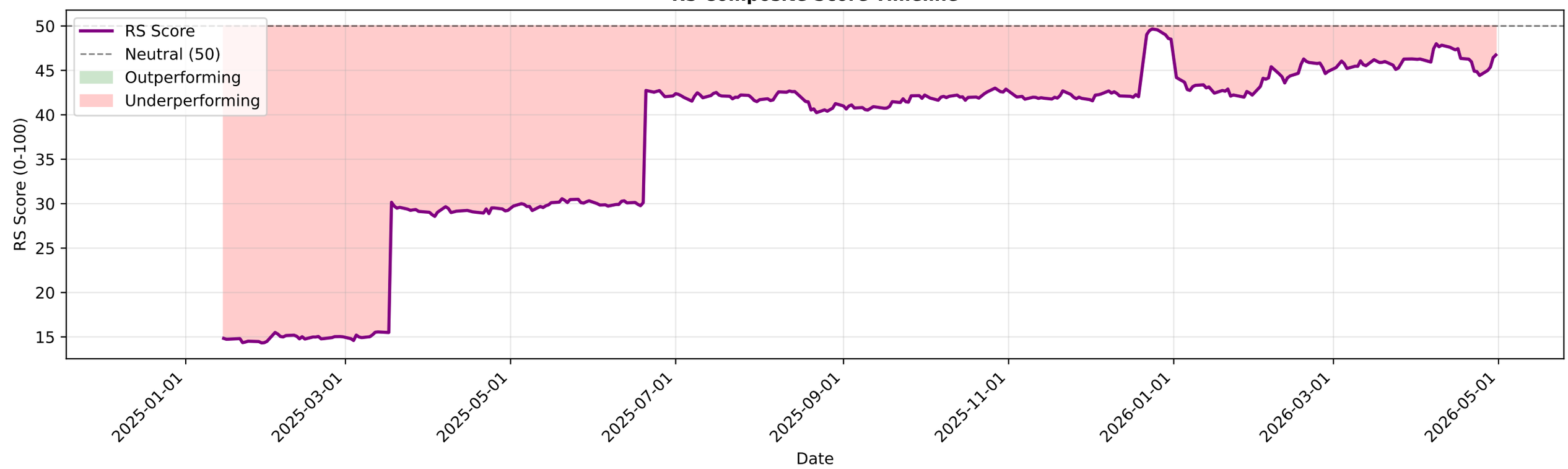
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

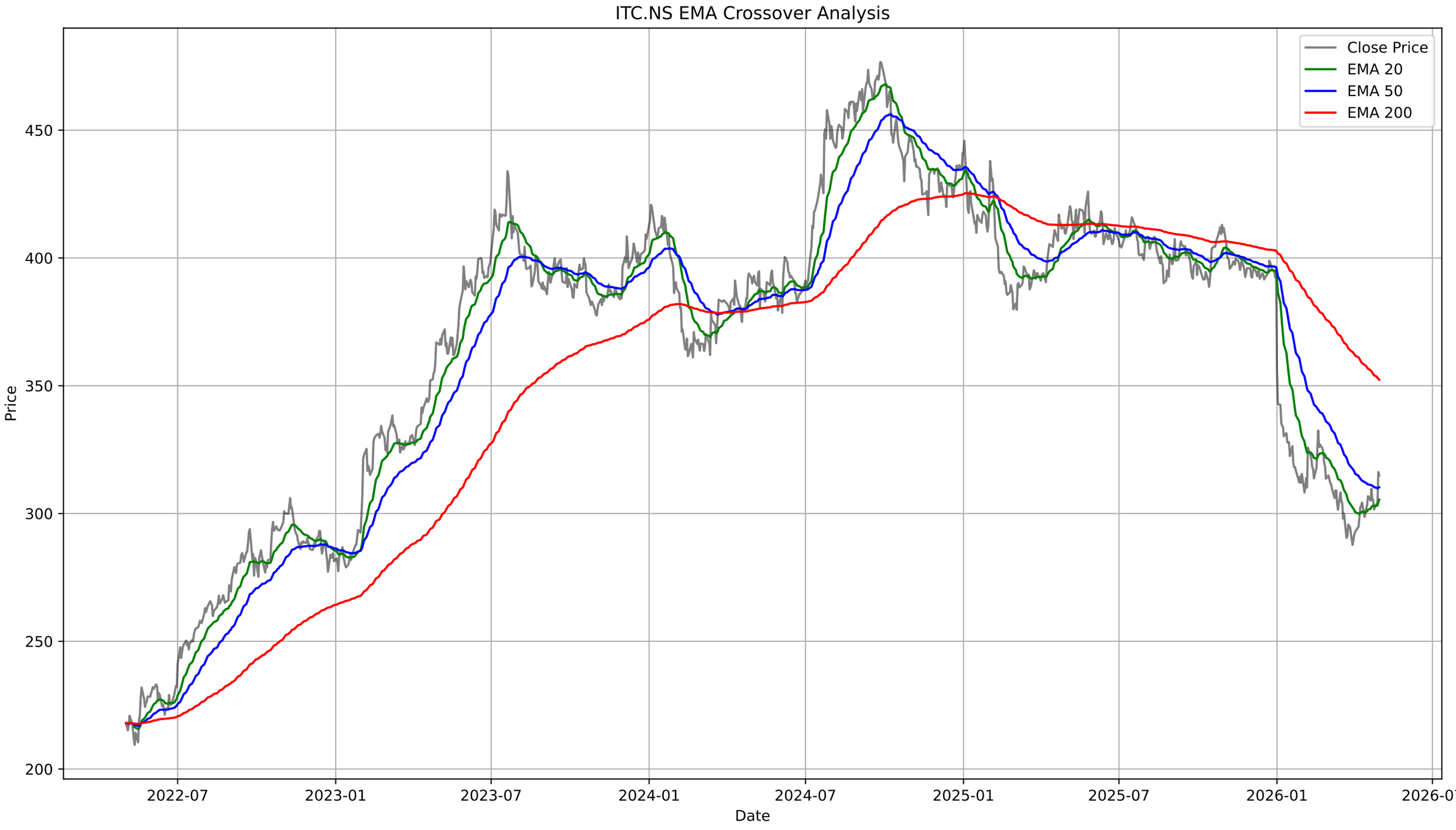


RS Composite Score Timeline



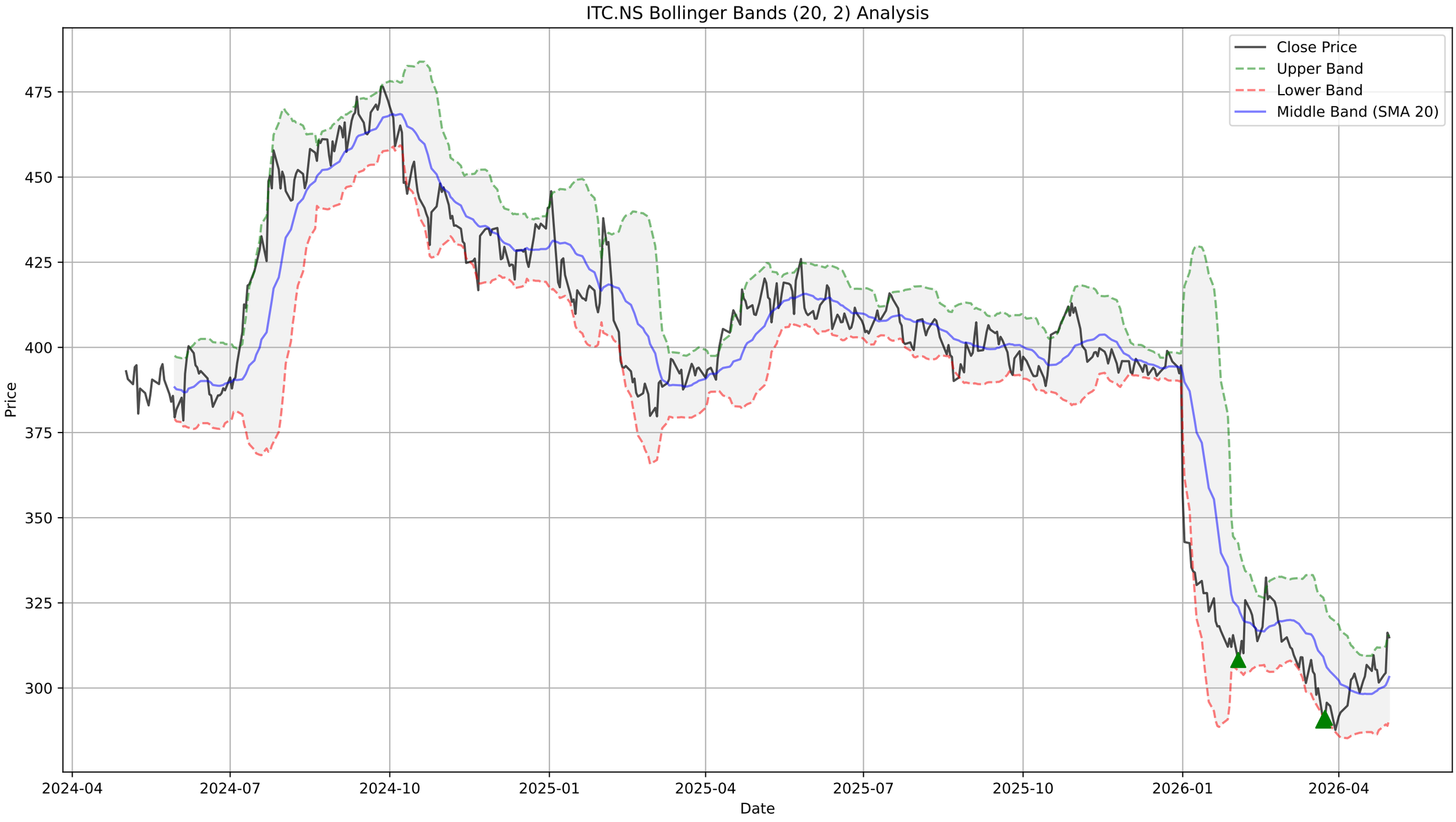
ITC.NS - EMA Crossover Summary

EMA 20:	305.42
EMA 50:	310.26
EMA 200:	352.36
Trend Status:	**Strong Downtrend**


ITC.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Price
450
400
350
300
250
200
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
2026-07
Date

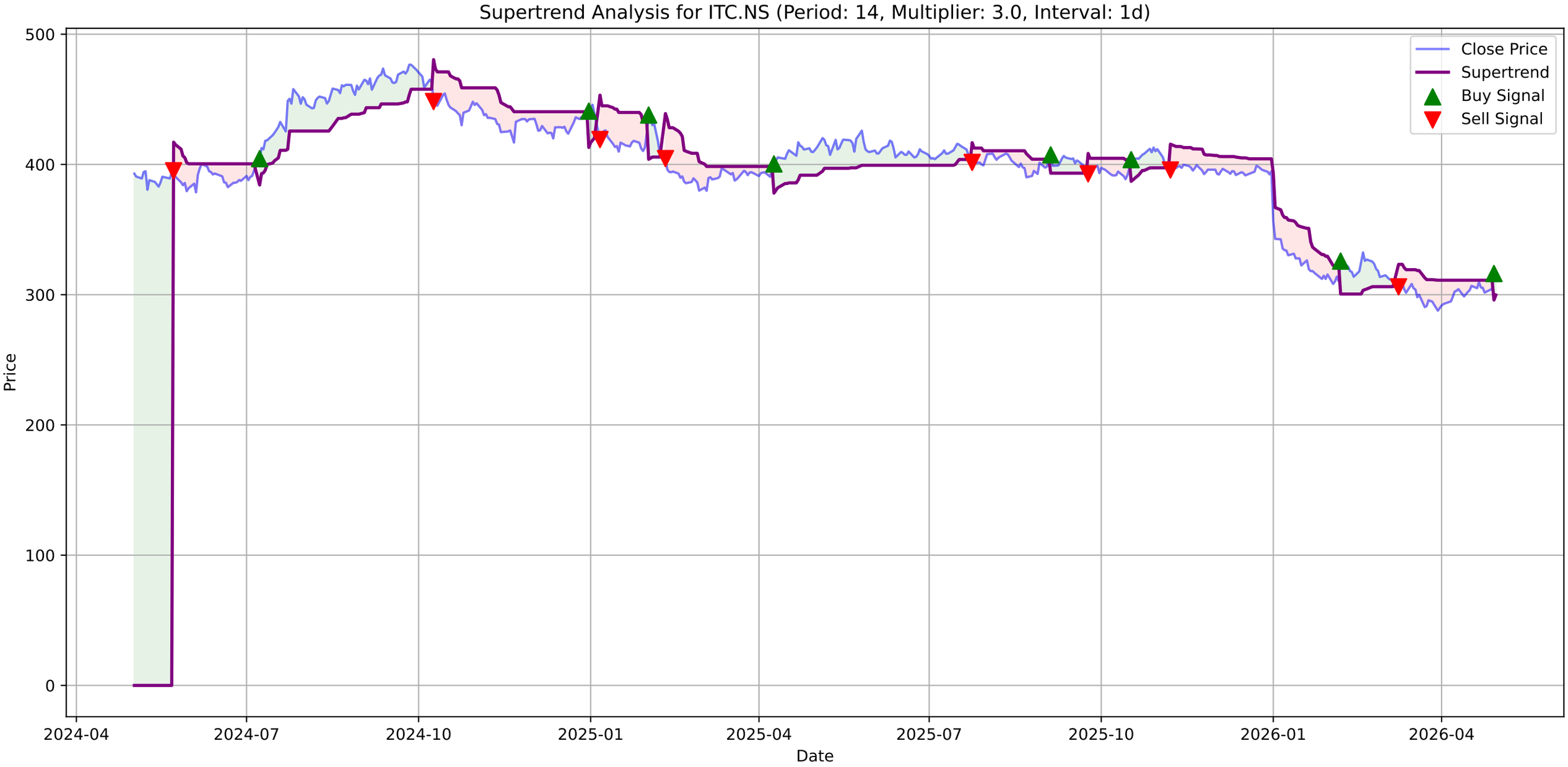
ITC.NS - Bollinger Bands Summary

Current Price:	314.90
Upper Band:	315.68
Middle Band (SMA 20):	303.25
Lower Band:	290.81
%B:	0.9685
Band Width:	0.0820
Status:	Upper Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-02-02 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-03-23 00:00:00+05:30**
Recent Signal 3:	**Buy Signal at 2026-03-24 00:00:00+05:30**


ITC.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
475
450
425
400
375
350
325
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Date

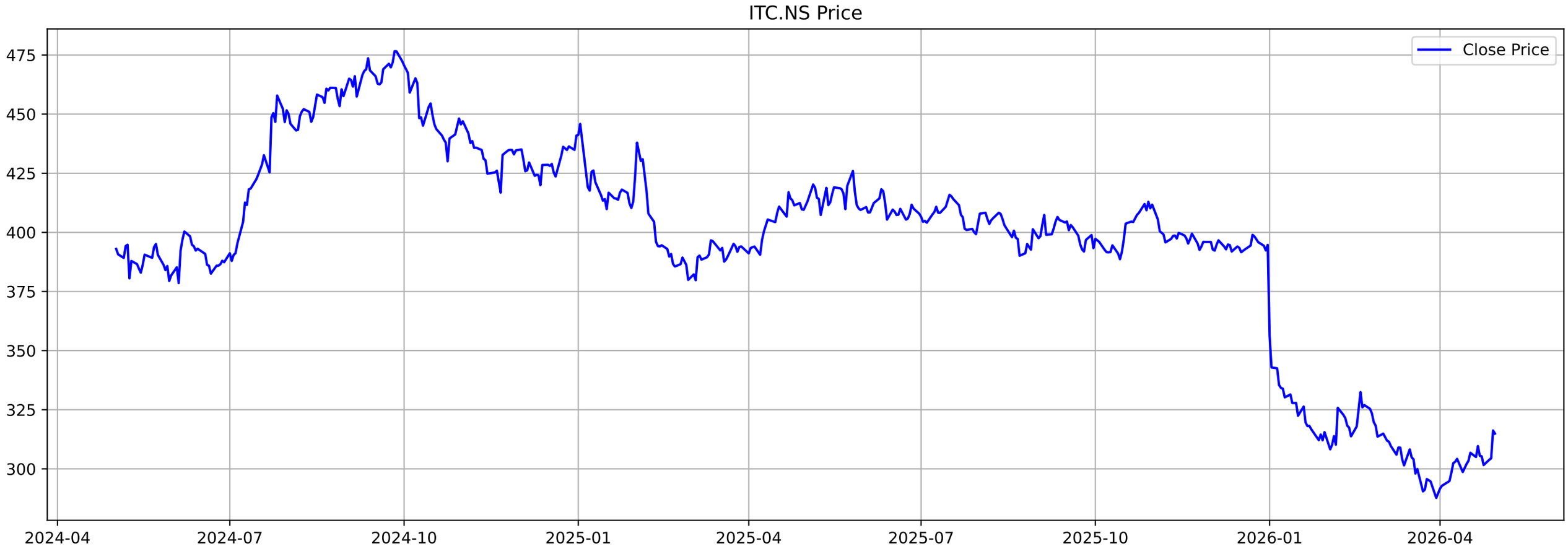
ITC.NS - Supertrend Summary

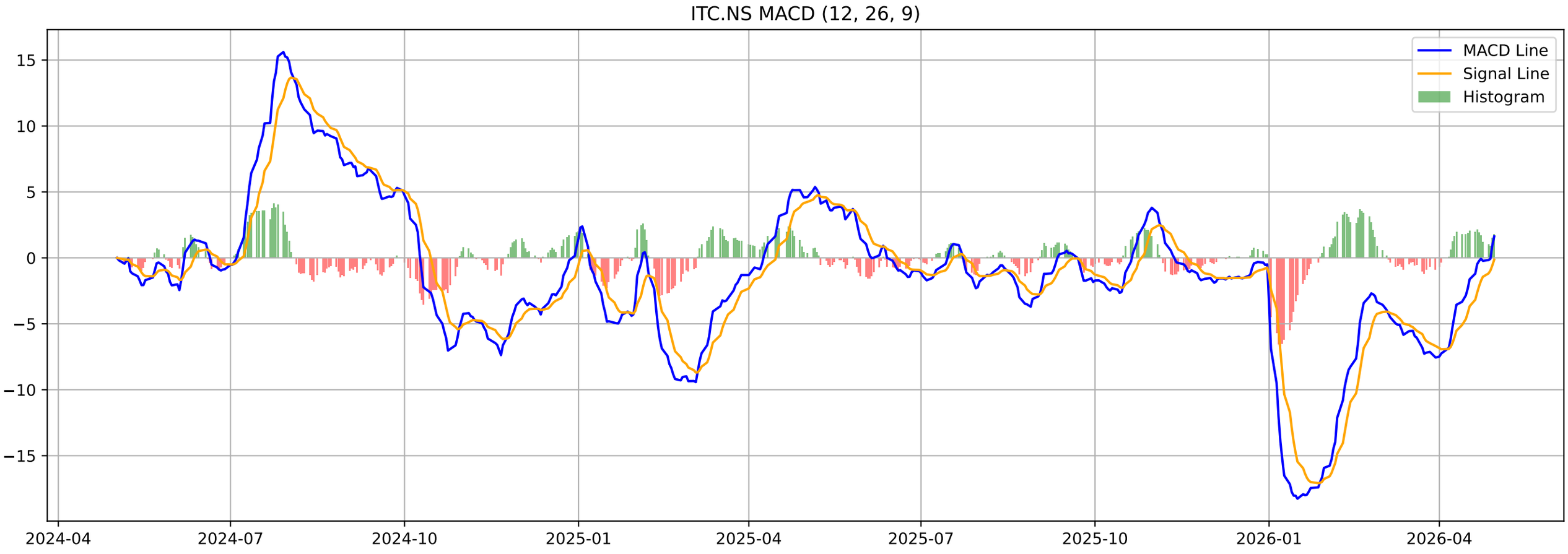
Status:	**UPTREND (Buy)**
Supertrend Value:	299.75
Signal Identified On:	2026-04-29


Supertrend Analysis for ITC.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
500
400
300
200
100
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

ITC.NS - MACD Summary

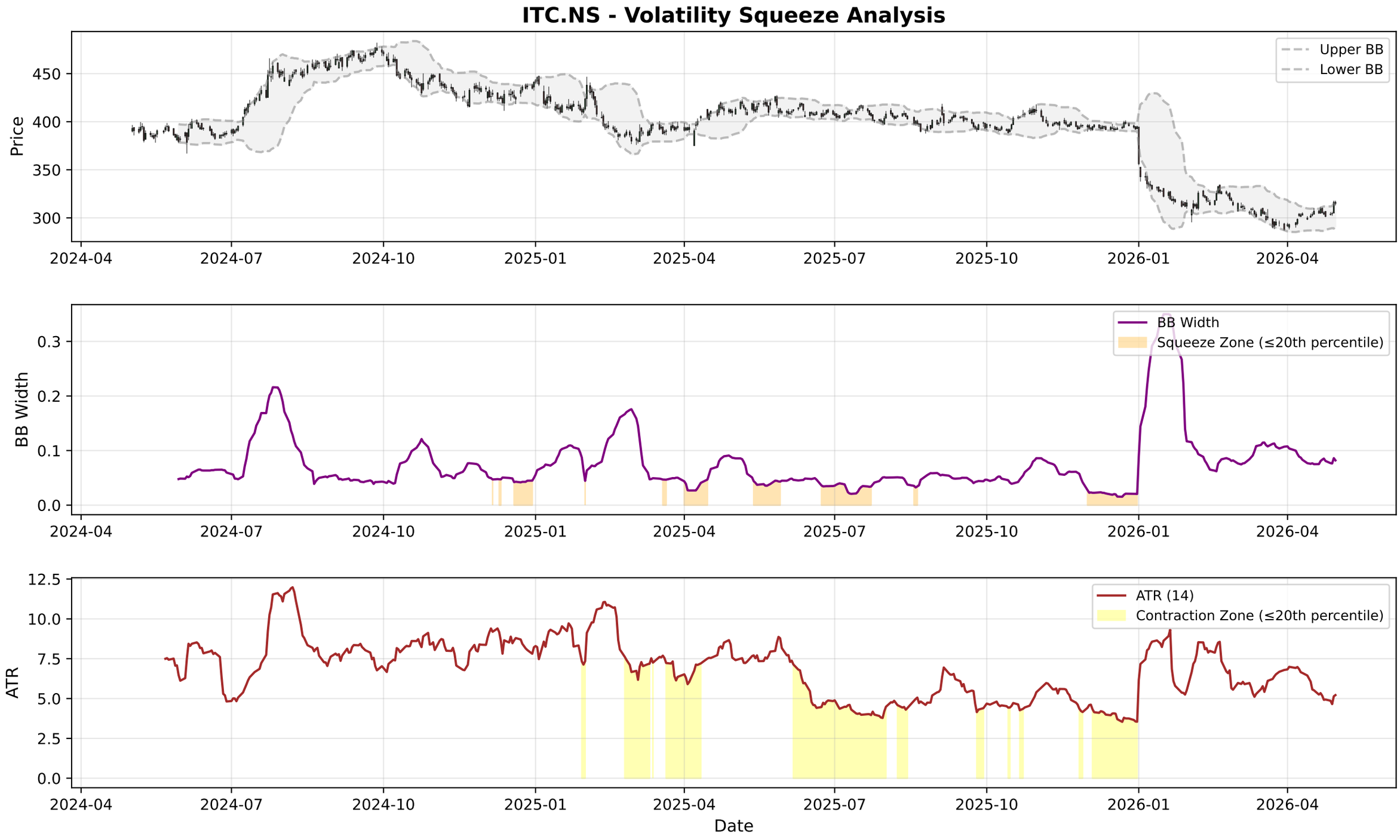
MACD Line:	1.62
Signal Line:	-0.14
Histogram:	1.76
Trend:	**Bullish**
Momentum:	**Strengthening**
Signal:	None


ITC.NS Price
Close Price
475
450
425
400
375
350
325
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04


ITC.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
15
10
5
0
−5
−10
−15
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

ITC.NS - Volatility Squeeze Summary

BB Width:	0.0820
ATR:	5.2179
Total Signals:	0


ITC.NS - Volatility Squeeze Analysis
Price
Upper BB
Lower BB
BB Width
BB Width
Squeeze Zone (≤20th percentile)
ATR
ATR (14)
Contraction Zone (≤20th percentile)
Date
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04

ITC.NS - RSI-Volume Summary

Current RSI:	60.95
Current Volume:	11541956
Volume MA 20:	19324374
Bullish Divergences:	2
Bearish Divergences:	3
Bullish Div 1:	Date: 2025-10-14 00:00:00+05:30, Price: 388.65
Bullish Div 2:	Date: 2025-12-17 00:00:00+05:30, Price: 391.59
Bearish Div 1:	Date: 2024-09-26 00:00:00+05:30, Price: 476.59
Bearish Div 2:	Date: 2025-05-05 00:00:00+05:30, Price: 420.24

ITC.NS RSI-Volume Divergence Analysis
Price
475
450
425
400
375
350
325
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
2026-04
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e8
Volume
4
3
2
1
0
Volume MA-20
Volume MA-50
Date

ITC.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**38 Signals Detected**
:	
2026-03-06 [-]:	Distribution Day
2026-03-13 [-]:	Distribution Day
2026-03-17 [-]:	Distribution Day
2026-03-20 [-]:	Climax Volume (Churning)
2026-04-22 [-]:	Distribution Day

ITC.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Climax Churn
Buying Exhaustion
Selling Exhaustion
Price
420
400
380
360
340
320
300
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
2026-05
1e8
Vol MA (20)
Volume
Volume
4
3
2
1
0
Date

ITC.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**No Control**
Recent Trend Score (10-day avg):	0.00
:	
Distribution:	
No Control:	120
Seller Control:	62
Buyer Control:	43
Seller Strong Control:	2
Buyer Strong Control:	2

ITC.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
420
400
380
360
340
320
300
1e8
Volume
2.5
2.0
1.5
1.0
0.5
0.0
2025-08-06
2025-09-03
2025-09-29
2025-10-27
2025-11-21
2025-12-17
2026-01-13
2026-02-09
2026-03-06
2026-04-06
Date

Multi-Timeframe Supertrend Analysis

Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	315.6	315.2	2024-10-07
1 Day	**UPTREND (Buy)**	299.75	314.9	2026-04-29
15 Min	**UPTREND (Buy)**	313.14	315.2	2026-04-27

Multi-Timeframe MACD Analysis

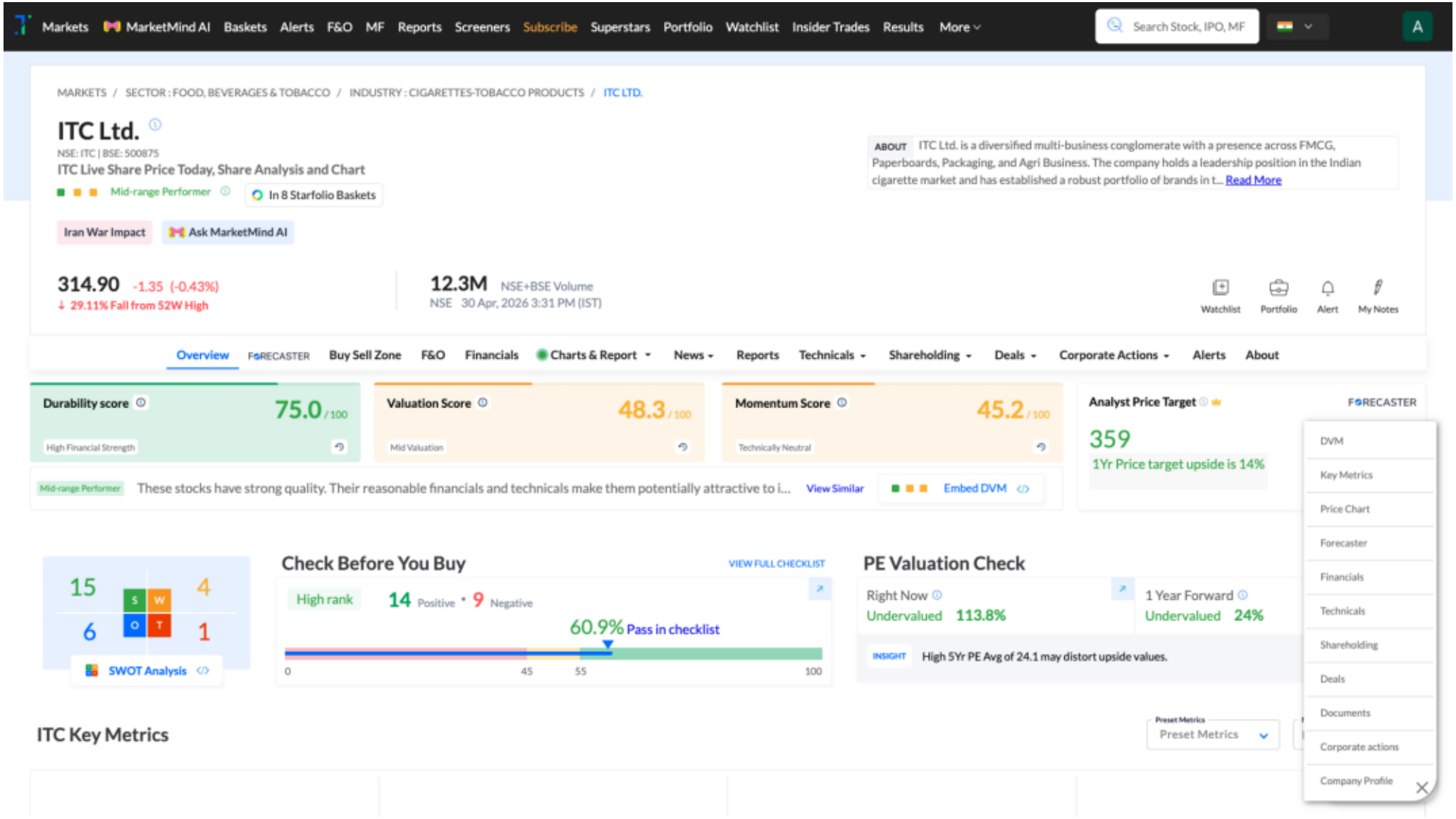
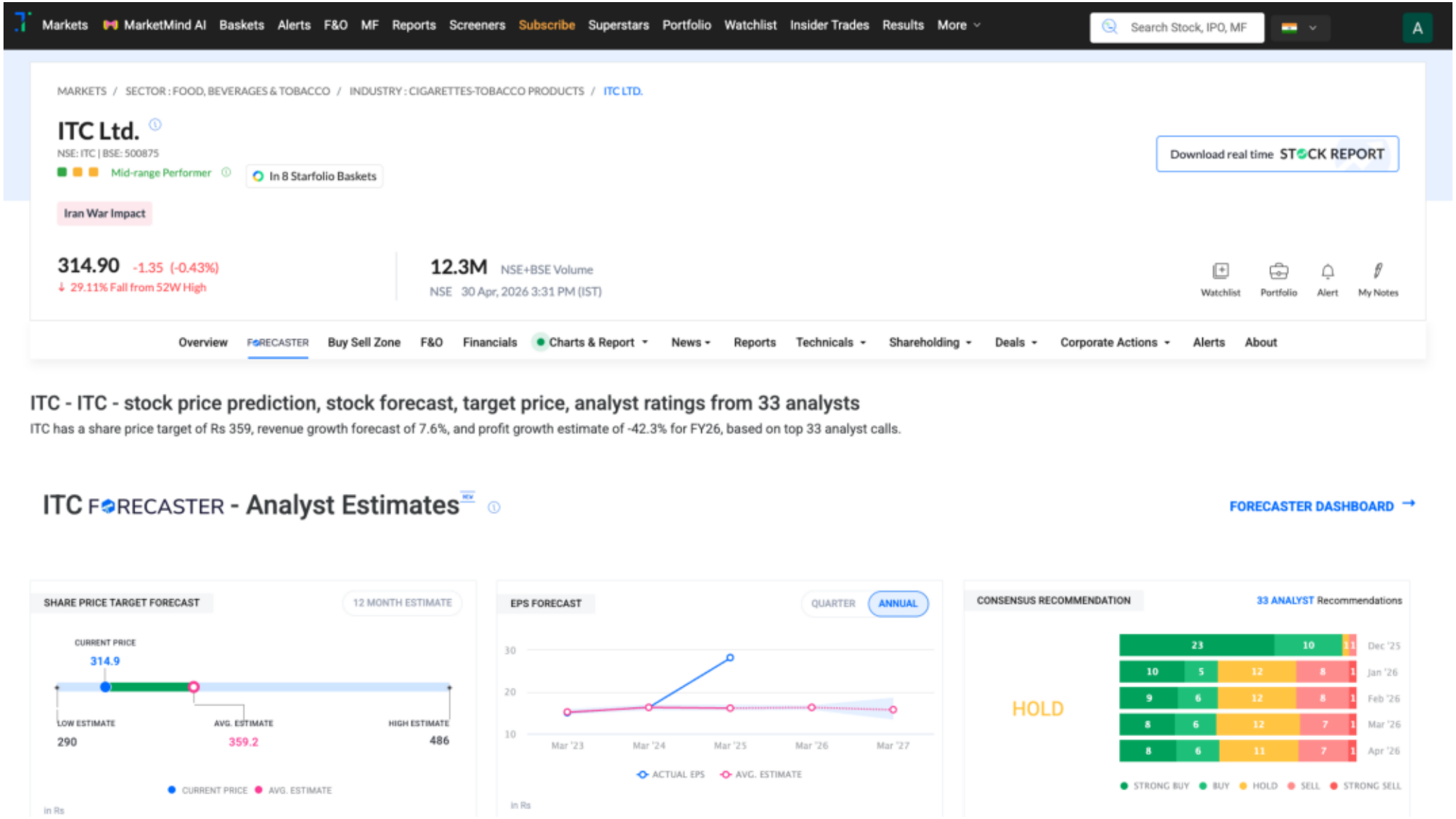
Timeframe	Trend	Momentum	Signal
1 Week	**Bullish**	Strengthening	No Signal
1 Day	**Bullish**	Strengthening	No Signal
15 Min	**Bearish**	Weakening	No Signal

ITC.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
500
400
300
200
2016-05-02
2017-05-01
2018-04-30
2019-04-29
2025-04-24
2024-04-22
2025-04-21
2026-04-20

ITC.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
500
450
400
350
300
2024-05-02
2024-07-12
2024-09-23
2024-12-04
2025-11-28
2026-02-09
2026-04-24

ITC.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
315
310
305
300
295
290
03-04
03-09
03-13
03-19
03-24
04-01
04-08
04-15
04-21
04-27
04-30

Trendlyne Snapshot - ITC_main



Trendlyne Snapshot - ITC_forecaster